

9 Jack bought a new boat for £12 500

The value, £ V , of Jack's boat at the end of n years is given by the formula

$$V = 12\,500 \times (0.85)^n$$

- (a) At the end of how many years was the value of Jack's boat first less than 50% of the value of the boat when it was new?

(2)

A savings account pays interest at a rate of $R\%$ per year.

Jack invests £5500 in the account for one year.

At the end of the year, Jack pays tax on the interest at a rate of 40%.

After paying tax, he gets £79.20

- (b) Work out the value of R .

(3)

(Total for Question 9 is 5 marks)